

Business Analytics terminology

1. Business Analytics

- Process of using data to understand how a business is performing and to make better business related decisions.

e.g. A company store checks which products sold the most last month and orders more of the product.

2. Data Analytics - The process of examining raw data to find patterns and insights.

e.g. Using SQL to identify trends in customer purchases.

3. Business Intelligence (BI) - Tools and systems that display data through reports and dashboards which helps businesses to track performance in real time.

e.g. Using Power BI to monitor daily sales at pep store.

4. Data-driven decision making - Decisions made based on data instead of guesses or opinions, to reduce risks.

e.g. A company increasing market budget after seeing strong campaign results.

5. Big Data - Very large data and complex datasets that are difficult to process with traditional tools.

e.g. Netflix using user data to recommend shows.

6. Descriptive Analytics - Explains what has already happened using past data.

e.g. A report showing last month's sales.

7. Diagnostic Analytics - Explains why something happened by analysing data.

e.g. A business finds that sales dropped due to increased prices.

8. Predictive Analytics - Uses past data to forecast future outcomes. e.g. An online store predicts when customers will buy again.

9. Prescriptive Analytics - Suggests actions a business should take based on data.

e.g. A delivery company recommends the fastest routes for drivers.

10. Data Literacy - The ability to understand and use data effectively. e.g. A manager using dashboard to make decisions.

11. Data, Measurement & Reporting

11. Structured data - Data organised in rows and columns, making it easy to analyse.

e.g. Excel spreadsheet with customer details & sales.

12. Unstructured data - Data that is not organised in a fixed format. e.g. Emails & videos.

13. Data Warehouse - A system used to store large amounts of data for analysis.

e.g. Edgars storing years of sales data in one system for reporting.

14. Data Mining - Process of finding patterns in large datasets. e.g. Spar identifies products bought together.

15. Data Visualisation - Presenting data using charts & graphs. e.g. Bar chart comparing revenue between genders.

16. Dashboard - A visual display of key metrics in one place. e.g. live dashboard of website traffic.

17. Metric - Any measurable value used to track performance. e.g. Revenue over 6 months

18. Key Performance Indicator (KPI)
- A specific metric that is important for achieving business goals. e.g. Conversion rate as a KPI for an online store.

19. Benchmark - A standard used to compare performance. e.g. Sales vs industry average.

20. Segmentation - Dividing customers into groups based on characteristics. e.g. customers by age / location.

Customers & Sales KPIs

21. Conversion Rate - The percentage of users who complete a desired action.

e.g. 5 out of 100 visitors make 5% conversion rate.

22. Customer Acquisition Cost (CAC) - The cost of acquiring one new customer. e.g. Spending £1000 on ads to get 10 customers

$\text{CAC} = \frac{£1000}{10} = £100$

23. Customer Lifetime Value (CLV)

- The total profit a business earns from a customer over time.
- e.g. R500 every month for a year = R6000 value.

24. Churn Rate - The percentage of customers who stop using a service.

e.g. 10 out of 100 customers cancel

= 10% churn.

25. Customer Retention Rate - Percentage of customers who stay.

e.g. 90 out of 100 stay = 90% retention.

26. Net Promoter Score (NPS)

- Measures customer loyalty by asking how likely they are to promote a business.

e.g. survey for customers to rate.

27. Average Order Value (AOV)

- The average amount spent per purchase.

e.g. Total revenue $\div$ number of orders

28. Sales funnel - The stages customers go through before buying.

e.g. Awareness $\rightarrow$ Interest $\rightarrow$ Purchase.

Marketing & Campaign Analytics

29. Marketing Campaign - A planned effort to promote a product or service.

e.g. Social media campaign for new product.

30. Post-Campaign Analysis - Evaluates the performance of a campaign after it ends.

e.g. Reviewing sales and engagement after a promotion

31. Incremental revenue - extra revenue generated from a campaign
e.g. sales increase from 10 000 rands to 15 000 rands.
32. Return on investment (ROI) - measures profit compared to cost
e.g. spent R10 000, earn R20 000 = +ROI
33. Return on Ad Spend (ROAS)
- Measures revenue earned per advertising spend.
e.g. Spend R500, earn R2000 = 4xROAS.
34. Click-Through Rate (CTR)
- Percentage of people who click on an Ad.
e.g. 10 clicks out of 100 views = ~~100~~ 10% CTR
35. Bounce Rate - Percentage of visitors who leave without interacting
e.g. Users leave a website after viewing 1 page.
36. A/B Testing - Comparing two versions to see which performs better.
e.g. Testing 2 ad designs.
37. Lead Generation - The process of attracting potential customers
e.g. collecting contacts through a sign up form.
38. Marketing Attribution
- Identifies which channel led to a conversion.
e.g. Customer buying after clicking an Instagram ad.

References

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